DECISION INTELLIGENCE

Climate Policy Has Started Taking Things Away

First edition in the Climate, Nature and Food Systems series. Weekly Signal Scans and the 28 August Change Tracker on this topic precede it; the next edition will grade the four dated commitments set below.

3 September 2026 · Audience: Boards, procurement, finance and policy leaders in any sector that uses water, buys inputs or places goods on the EU market · Horizon: 6 to 18 months primary, 2 to 5 years secondary

Read estimate: 4 min Executive Synthesis · 14 min full read

What you will learn

1. Why the year that narrowed sustainability reporting to the largest firms also widened the rules that ration water and market access.
2. How to work out in an afternoon whether the 30 December deforestation deadline reaches your products, including furniture, chocolate, paper and tyres.
3. Where a harvest already lost turns into cost, and why food inflation holding flat this month is not the reassurance it looks like.

Key takeaways

1. Euro area food inflation held at 1.2% in August while EU summer crop forecasts fell as much as 14% below the five-year average.
2. Mosaic idled its Faustina plant and ran Bartow at 40% of target as third-quarter sulphur contracts settled at $705 a long ton.
3. Sustainability reporting now applies only above 1,000 staff and €450m turnover, while carbon border certificates were priced at €75.28 a tonne.

Why this matters now

For most of the past decade, climate policy asked companies to measure things and write them down. That era is closing, and what is replacing it decides what you are allowed to have.

Governments are handing out water in short blocks instead of granting it for decades, charging for carbon at the border instead of collecting reports about it, and from the end of December refusing market access to goods whose origin cannot be shown. Meanwhile the weather has taken a harvest out of Europe, and the chemical that turns rock into fertiliser has tripled in price, so plants are standing idle.

The one thing to take into the next meeting: the reporting duty most companies were preparing for has been narrowed to a few thousand of the largest firms, while the duties that actually bite now attach to what you use, what you buy and where it came from. Work out which of those three reaches you before the end of the year.

Executive Synthesis

> **Which of your 2027 plans assume you can still buy the water, the acid and the market access you had this year?**
>
> *The evidence in this report says all three are now allocated rather than sold.*

The central tension of this cycle is a swap. In the same twelve months that Europe cut the population of companies obliged to report on sustainability, it widened and hardened the instruments that decide what those companies may use, buy and sell. Reporting narrowed; charging and rationing did not.

The evidence for the narrowing is unusually clean. Under the agreed simplification package, sustainability reporting now applies only to EU companies above 1,000 employees and €450m of turnover, and due-diligence duties only above 5,000 employees and €1.5bn, with the text in force since 18 March (European Parliament Legislative Train, May 2026). Set against that, four instruments moved the other way. **Carbon:** the carbon border mechanism entered its charging period, with certificates priced at €75.36 a tonne for the first quarter and €75.28 for the second (European Commission, Taxation and Customs Union, July 2026), while Germany runs a domestic fuel carbon price in a €55 to €65 bid corridor and held its first auction on 1 July (Deutsche Emissionshandelsstelle, May 2026, German). **Origin:** from 30 December, placing cocoa, coffee, soy, palm, rubber, wood or cattle products on the EU market requires plot-level geolocation, a date fixed in the Official Journal (Regulation (EU) 2025/2650, December 2025). **Water:** Colorado operating guidelines are now expected to cover two-year intervals (US Bureau of Reclamation, August 2026), and in England ten areas sat in drought with around 30 million people under use restrictions in late August (Environment Agency, August 2026).

Reporting narrowed; charging and rationing did not.

The second movement is physical, and it is further advanced than the price data suggests. EU summer crop forecasts were cut to as much as 14% below the five-year average, with grain maize worst hit and pasture productivity down enough to raise fodder concerns (Joint Research Centre, August 2026); France's maize crop is put at 9.0 million tonnes, around 35% below 2025 (Agreste via Réussir, August 2026, French); German cooperatives price the heat damage at more than €600m of lost income (Deutscher Raiffeisenverband, August 2026, German). Yet euro area food, alcohol and tobacco inflation was 1.2% in August, unchanged on July, while energy ran at 14.3% (Eurostat, September 2026). Taken together, the sources suggest the harvest loss is committed but not yet priced, and that the transmission runs through 2027 contracts rather than through this autumn's shelf prices.

The insight worth carrying out of this cycle is that the two movements are the same movement. A company that spent three years building a reporting function has been released from much of that duty and simultaneously exposed to four allocation decisions it has no function for at all: who gets water, who gets acid, who may place goods on a market, and who pays for carbon at the border. On the available evidence, the capability most organisations built is not the capability the next two years require.

Where this analysis could be wrong

The load-bearing assumption is that these instruments hold their dates. Three of them could slip, and one already has: the extension of emissions trading to buildings and road transport was postponed by a year to 2028 (International Carbon Action Partnership, March 2026), which is direct evidence that this legislature will move a date when the politics demand it. If the deforestation regime is delayed again, or if the carbon border charge is softened at the first review, the urgency in this briefing is misplaced by a year. The claim that would force a revision is a Commission proposal to move the 30 December date, and the honest position is that the July scope revision showed the appetite for adjusting the regime without touching its start. Note also that the carbon border charge accrues on 2026 imports but certificates are not bought until February 2027, so 2026 is an accrual year rather than a cash year for most importers.

The decisions that cannot be deferred this cycle

1. **Establish whether the 30 December deforestation deadline reaches any product you place on the EU market.** The obligation attaches to the product, not to the industry, and the scope was revised as recently as July.
2. **Put a named owner on water at every site you are financing or expanding.** Entitlement tenor, not headline reservoir levels, is what has changed.
3. **Reprice 2027 input contracts for fertiliser and feed before the harvest data settles.** The losses are already banked; the contracts mostly are not.

Audience Snapshots

Four lenses on the same evidence base, one per function. Each card carries the single question this cycle puts to that function.

BOARD AND SITE-SELECTION LEAD IN ANY WATER-USING SECTOR

Are we financing twenty-year assets against a two-year water entitlement?

The shift: Allocation has moved to short, repeatedly re-determined intervals in the Colorado basin, and use restrictions are live in European systems whose storage is not exhausted.

The question to brief: For each site on the capital plan, who holds the entitlement, how long does it run, and what happens at the next re-determination?

PROCUREMENT LEAD PLACING GOODS ON THE EU MARKET

Can we name, by product, which lines need plot-level origin evidence in December?

The shift: The obligation follows the commodity into derived goods, so furniture, paper, chocolate and tyres sit inside it while the company selling them may not think of itself as agricultural.

The question to brief: Which supplier would we have to ask for a polygon of a field, and have we ever asked them for anything of that kind?

GOVERNMENT AND POLICY READER

Do our own instruments assume firms still have a reporting duty most of them no longer have?

The shift: Disclosure was narrowed to a few thousand of the largest companies while border, permitting and allocation instruments widened, so the information base for policy has thinned as the enforcement load has grown.

The question to brief: Where does our policy design still depend on company-reported data that will no longer be collected?

INVESTOR AND LENDER FINANCING LONG-LIVED ASSETS

Which covenants in our book were written against a disclosure regime rather than a charge?

The shift: Carbon is now an accruing liability with a published quarterly price, sulphur has forced named producers to idle plants, and water tenor has shortened, none of which appear in a sustainability report.

The question to brief: For each holding, can we state the input that would curtail it first, and who allocates that input?

Themes

Five themes, ranked by how soon they force a decision. Three are Immediate, meaning they bear on choices being made this quarter. Citations link to the source at the point of use. Where a source is not in English, the claim is given in English and the citation names the language.

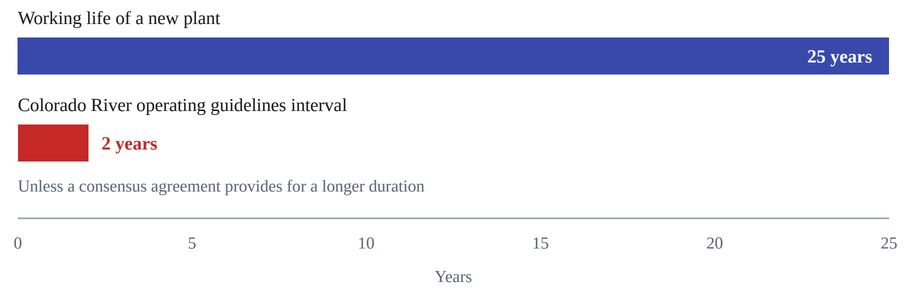
1. You will be told how much water you can use, two years at a time

IMMEDIATE

Water is moving from a long entitlement to a short one, and the change is in the tenor rather than the volume. An operator can hold a licence, sit beside a reservoir that is three-quarters full, and still be told this month what it may use. For anyone financing a plant, a fab, a data centre or an irrigated holding on a twenty-five year view, the asset now sits on a permission that is re-decided in intervals measured in single years.

- The river system that supplies much of the American west has formally shortened its planning tenor. Operating guidelines for Lake Powell and Lake Mead Operating Guidelines, or the objective criteria that will govern operations at Lake Powell and Lake Mead, are anticipated to cover 2-year intervals unless consensus-based agreements provide for a longer duration. (US Bureau of Reclamation, August 2026).
- Restriction has decoupled from storage. Galicia declared scarcity alert across systems covering 91 municipalities, imposing bans on street washing, filling pools and garden irrigation, with supply reservoirs at 72.74%, some 14.44 points below the same date a year earlier (Xunta de Galicia, August 2026, Spanish).
- In England the position is a matter of routine weekly record rather than emergency: ten areas in drought, ten water companies operating temporary use bans and around 30 million people under restrictions, with storage at Storage for England was 59.8% on 25 August, having fallen 2.7% in a week and is 18.2% below average for the time of year. (Environment Agency, August 2026).
- The pressure is arriving where the rationing machinery was never built. The EU drought monitor records alert conditions persisting in central-eastern Europe and warning conditions expanding extensively in France (Joint Research Centre, July 2026).

Figure 1: How long the asset lasts, against how long the water right runs



The tenor gap is the finding, not the drought. Sources: US Bureau of Reclamation decision documents, August 2026, for the two-year interval; twenty-five years is a conventional planning life for industrial plant, used here as a reference bar rather than as a sourced figure.

Weak signals to watch

- **EMERGING** The fastest-growing new demand is invisible to the instrument that allocates. The Delaware River Basin Commission reports roughly 60 data centres operating and about 24 more planned in the basin, and has received no water-withdrawal applications from any of them, because they buy from public supply rather than abstracting directly (Delaware River Basin Commission, August 2026). A regulator that cannot see a load cannot ration it, so the restriction lands on the municipal system instead.
- **WATCH** Whether the century-long guarantee that underwrites development in Arizona survives challenge. A state judge struck down the regulations behind the 100-year assured water supply rule, which one water policy expert called it may be the death knell of the assured water supply requirement (KJZZ, April 2026). The direction there is loosening rather than tightening, which cuts against the theme and is worth watching for that reason.

Counter-argument The aggregate numbers do not support alarm. Data centres directly consumed 17.4 billion gallons in the United States in 2023, under 1% of national water consumption, and the endemic problems are confined to the arid Southwest and Central High Plains, on a reading that holds the problem is engineerable (Information Technology and Innovation Foundation, July 2026, treated directionally). The rebuttal is that the aggregate is the wrong denominator: measured against host utility capacity, the burden at ten US sites spans three orders of magnitude, from 0.2% to 134% (Akinade and colleagues, June 2026, preprint). Both can be true, and an organisation cannot use the national share to reassure itself about a specific site.

Decision link: Strategic Implication SI 2.

2. From 30 December, you must show where your raw materials were grown

IMMEDIATE

In under four months, placing certain goods on the EU market will require evidence of the plot of land the commodity came from. The obligation attaches to the product rather than to the sector, so it reaches furniture retailers, publishers, tyre distributors and confectionery brands that have never thought of themselves as agricultural businesses. A scope revision in July removed some products and added others, and has been read in parts of the trade as a reprieve. The start date did not move.

- The date is fixed in the Official Journal, not in guidance. Articles 3 to 13, Articles 16 to 24 and Articles 26, 31 and 32 shall apply from 30 December 2026., with micro and small operators established before 2025 given until 30 June 2027 (Regulation (EU) 2025/2650, December 2025).
- The obligation is plot-level. The Regulation covers cattle, cocoa, coffee, oil palm, rubber, soya and wood and their derived products, and requires operators to collect the geolocation of every plot where the commodity was produced, to analyse that information in a risk assessment, and to lodge a due diligence statement before placing goods on the market (Regulation (EU) 2023/1115, consolidated, December 2025).
- July's revision cut and added in the same instrument. Cattle hides and leather, re-treaded tyres, soybeans for sowing, vulcanised rubber articles, conveyor belts and vehicle seats came out; soluble coffee, certain palm oil derivatives and frozen cattle tongues went in, with the additions given a deferred entry into application on 30 December 2027 (Commission Delegated Regulation of 13 July 2026, July 2026).
- National enforcers are already treating the date as settled operational fact. Germany's competent authority states the covered goods must not have been produced on land deforested after 31 December 2020 and that a due diligence declaration must be lodged in the EU information system, giving 30 December 2026 for larger enterprises (Bundesanstalt für Landwirtschaft und Ernährung, accessed September 2026, German).
- The reach into ordinary consumer goods is the Commission's own framing: the regime covers cattle, wood, cocoa, soy, palm oil, coffee, rubber, and some of their derived products, such as leather, chocolate, tyres, or furniture (European Commission, accessed September 2026).
- Producer-country compliance is being built now, not after the date. Ivorian cocoa cooperatives near San Pédro are reorganising around what the reporting describes as strict traceability obligations including plot geolocation and verification of legal compliance (Mongabay France, April 2026, French).

Counter-argument The simplification is real and it did reduce work for most companies in a chain. Downstream operators and traders no longer submit their own due diligence statements, and an importer-side trade body has told its members exactly that, while noting the date is unchanged for large and medium operators and for timber-sector small firms (CDH, June 2026, German). Against that, the removal of leather while cattle meat stays in scope has been called a loophole that breaks the regulation's own logic (Mighty Earth, May 2026, advocacy source, treated directionally). The practical risk for a business is not the argument but the inference: relief at the downstream end has been widely read as relief at the deadline, and it is not.

Decision link: Strategic Implication SI 1.

3. Fertiliser plants are shutting because sulphur tripled in price

IMMEDIATE

The chemical that turns phosphate rock into fertiliser has repriced violently, and the response has been to stop making fertiliser. This is already visible in a listed producer's own results and in what American farmers are paying. The reason it belongs in a climate and food briefing is upstream of the price: sulphur is a by-product of refining oil and gas, so nobody produces more of it because it is expensive, and the same molecule is wanted by the battery-metals industry that decarbonisation is building.

- The producer has said it plainly. Mosaic reported second-quarter sulphur costs averaging $522 a long ton and third-quarter contracts settling at $705, implemented a partial phosphate curtailment in May, idled its Faustina plant completely and ran Bartow at 40% of its targeted annual rate, stating that Sulfur and ammonia markets continue to experience widespread disruption, resulting in elevated raw material costs and production curtailments across the global phosphate industry. (The Mosaic Company, August 2026).
- The move was fast and it reached the acid market first. Sulphuric acid delivered to the US Gulf was assessed at Platts, part of S&P Global Energy, assessed sulfuric acid CFR US Gulf at $400/mt on May 6, up from the pre-war level of $155/mt on Feb. 25, with sulphur delivered to Brazil more than doubling over the same period (S&P Global Commodity Insights, May 2026, price reporting agency).
- It is reaching farmers. Corn Belt diammonium phosphate has moved from the $600 to $700 range across 2024 and mid-2025 to around $850 a ton, and the correlation between the Corn Belt DAP and Vancouver sulfur prices has been positive and statistically strong at 0.70, on a physical requirement of roughly 0.4 tons of sulphur per ton of the product (farmdoc daily, University of Illinois, August 2026).

- The structural reading is older than the price move. More than 80% of industrially used sulphur is recovered from oil and natural gas, and the founding analysis warned that Prices of sulfuric acid will rise, which could increase the cost of food, especially if sulfuric acid-using green tech industries outbid fertiliser producers. (The Geographical Journal, 2022, structural anchor).

Weak signals to watch

- EMERGING A supply response is appearing from a direction the shortage account tends to omit. Chinese sulphuric acid output reached 128 million tonnes in 2025, up 5.3%, with the growth concentrated in smelter and pyrite-based acid rather than acid burned from sulphur, while China's sulphur imports fell 3.5% in volume as the average import price rose 128.2% to $265.3 a tonne (China Sulphuric Acid Industry Association, April 2026, Chinese). Metallurgical by-product acid is the swing supply nobody is modelling.
- WATCH Whether battery-metals demand proves as firm as the scarcity account assumes. Four Chinese-operated high-pressure acid leach plants in Indonesia, about 30% of national capacity, suspended after a February landslide, removing roughly 260,000 tonnes of monthly acid demand at a stroke (Sulphur magazine, March 2026, trade press).

Counter-argument The proximate cause is not the energy transition, and this briefing should not pretend otherwise. The price reporting attributes the surge to Middle East supply disruption and to Chinese export restrictions effective 1 May, describing the February level as the pre-war one, and the farm-economics analysis explains the whole phosphate rise without mentioning battery metals at all. The official statistical view is that supply will be adequate for the foreseeable future (US Geological Survey, February 2026). Taken together, the sources suggest 2026 is a supply shock rather than proof of a structural squeeze, and the transition-versus-food competition is a risk to underwrite rather than an event that has happened.

Decision link: Strategic Implication SI 3.

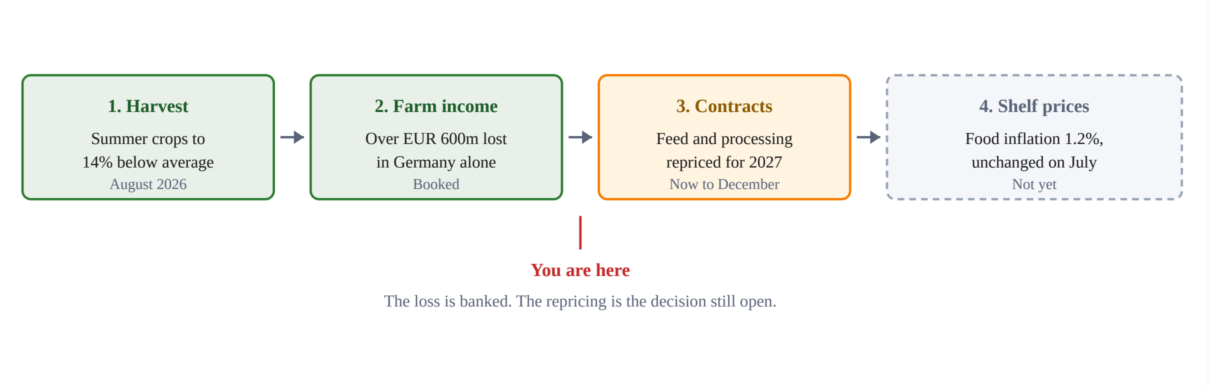
4. Europe's drought is already in next year's food prices

NEAR-TERM

The loss has happened. It has not yet been paid for. European crop forecasts were cut through July and August, national harvest estimates confirm the shortfall, and pasture has failed in places, which pushes the effect into livestock on a longer lag than cereals. Consumer food inflation has not moved, which is the point: the cost is sitting in contracts that will be renegotiated over the next two quarters rather than in prices that have already changed.

- The Commission's own monitoring made the cut in one month. Its August assessment found EU yield forecasts for all summer crops have been sharply reduced, falling below the five-year average by up to 14 %, with grain maize worst affected and losses ranging from moderate to crop failure across France, Germany, Italy, Austria, Czechia, Slovakia and Hungary (Joint Research Centre, August 2026).
- The downgrade was already running a month earlier, which is why this is a confirmed loss rather than a late surprise: the July bulletin had cut winter crop forecasts by 1% to 4% and warned that persistent heat made further reductions likely (JRC MARS Bulletin, July 2026).
- The hydrological picture reaches beyond fields. Half of the EU and the UK was under drought at some intensity in July with 9% at alert level, the Loire, Po, Rhine and Danube hit record lows in August, and burnt area reached 505,683 hectares by 5 August against 379,392 by the same date in 2025 (Joint Research Centre, August 2026).
- National numbers confirm it. Germany's statistical office puts the 2026 cereal harvest excluding grain maize at 37.5 million tonnes, 7% below 2025 (Statistisches Bundesamt, August 2026, German), and the farmers' association reports winter rapeseed yields 20% down on the year with collapsing grassland and heavy silage maize losses (Deutscher Bauernverband, August 2026, German).
- It has not reached the shelf. Euro area food, alcohol and tobacco inflation was 1.2% in August, unchanged from July, while energy is expected to have the highest annual rate in August (14.3%, compared with 10.3% in July) (Eurostat, September 2026).

Figure 2: Where the 2026 harvest loss has reached, and where it has not



Stages one and two are measured; stage three is where a buyer still has choices. Sources: Joint Research Centre, August 2026; Deutscher Raiffeisenverband, August 2026; Eurostat flash estimate, September 2026.

Counter-argument The world price signal points somewhere else entirely. The FAO index rose only 1.0% year on year in July, and the month's wheat move of 5.8% was attributed to Black Sea export disruption and damage to export infrastructure rather than to European yields (Food and Agriculture Organization, August 2026). The Commission's own summer outlook, closed before the heat, still forecast EU cereal production returning to an average 273.7 million tonnes (DG Agriculture and Rural Development, July 2026). A European harvest is a small share of a global market, and the honest position is that this theme is about European contract costs, not about a world food shock.

Decision link: Strategic Implication SI 3.

5. Carbon costs are now being charged, not just reported

NEAR-TERM

Carbon has become an invoice item with a published price, at the same moment as the duty to report on it was narrowed to a few thousand of the largest European companies. For a finance function this is a reversal of the last five years: the work that was building is being stood down, and a liability that accrues quarterly, that reaches imports, and that is settled in cash from early 2027, is arriving in its place.

- There is now an administered number. Carbon border certificates were priced at €75.36 a tonne for the first quarter of 2026 and €75.28 for the second, each a weighted average of emissions trading auction clearing prices, with the third-quarter price due on 5 October and certificate purchase beginning in February 2027 (European Commission, Taxation and Customs Union, July 2026).
- The reporting duty moved the other way in the same year. Sustainability reporting now applies only where a company employs on average for the CSRD, social and environmental reporting will only be required for EU companies employing, on average, over 1,000 employees and with a net annual turnover of over €450 million., with due diligence limited to firms above 5,000 employees and €1.5bn, in force since 18 March (European Parliament Legislative Train, May 2026).
- National charges are running where the EU-level one was delayed. Germany moved its fuel emissions system from fixed-price sale to auctioning in a €55 to €65 bid corridor, with the first auction held on 1 July 2026 (Deutsche Emissionshandelsstelle, May 2026, German), while the EU's own extension to buildings and road transport slipped to 2028 (International Carbon Action Partnership, March 2026).
- The pattern is not confined to Europe. The UK raised its auction reserve price from £22 to £28 and extended the scheme to domestic maritime from 1 July (International Carbon Action Partnership, July 2026), Canada set a trajectory from CAD 95 in 2026 to CAD 130 by 2035

(International Carbon Action Partnership, May 2026), and China opened consultation on allowance allocation covering steel, cement and aluminium smelting for the 2026 compliance year (Ministry of Ecology and Environment, July 2026, Chinese).

Counter-argument The direction is not uniformly toward higher cost. Canada's revised trajectory freezes the headline price at CAD 95 for 2026, a softening against the previous escalator, and the EU's own extension to buildings and transport was postponed by a year, so the political tolerance for consumer-facing carbon costs is visibly thinner than for industrial ones. The global average direct carbon price is still under $21 a tonne even as coverage reaches 29% of emissions and revenues exceed $107bn (World Bank, May 2026). An organisation outside the covered sectors and outside the border mechanism may reasonably conclude that its own exposure remains small for now.

Decision link: Strategic Implication SI 4.

Strategic Implications

Four implications, each with a named owner, a date and a decision posture.

SI 1: Establish product-level exposure to the 30 December origin rule before the autumn planning round closes

Any organisation placing goods on the EU market should determine, line by line, whether a covered commodity sits anywhere in the product, because the obligation follows the commodity into derived goods and the July revision changed the list in both directions. The work is a scoping exercise rather than a compliance build: most companies will find they are out of scope, and the ones that are in need the remaining months to obtain geolocation data from suppliers who have never been asked for it.

Action: the procurement lead, with legal, to produce a product-level in-scope or out-of-scope determination against the current Annex I, and to name the three suppliers least able to provide plot data, by 31 October 2026. DECIDE

Theme 2

SI 2: Put water entitlement tenor into the capital approval process

Capital committees test power, land and permits, and generally record water as available or unavailable rather than as an entitlement with a duration and a renewal risk. On this cycle's evidence that omission is now material: allocation intervals have shortened where the resource is formally managed, restriction has decoupled from storage where it is not, and in at least one basin the largest new load is not visible to the allocating body at all. The change required is small and procedural, which is why it should happen before the next approval rather than after an incident.

Action: the chief operating officer to add entitlement holder, tenor and next re-determination date to the capital approval template, and to apply it retrospectively to sites already approved for 2027 construction, by 31 December 2026. PREPARE

Theme 1

SI 3: Reprice 2027 fertiliser, feed and processing contracts against a shortfall that is already banked

The harvest loss and the fertiliser input shock are both measured facts, and neither has passed into consumer prices, so the negotiation that decides who absorbs them is happening now. Buyers who wait for the price data to confirm what the crop data already says will be negotiating from the wrong side of that information. This applies to food manufacturers and retailers on the output side and to anyone buying phosphate on the input side, and the two are connected only through the fact that both bills arrive in 2027.

Action: the finance director, with procurement, to re-run 2027 input cost assumptions against the August crop and sulphur positions and to reopen contracts where the assumption predates July, at the next budget round.

DECIDE

Themes 3 and 4

SI 4: Rebuild the carbon function around a liability rather than a disclosure

Companies below the new reporting thresholds should not simply stand the function down, because the obligation that replaces it is financial and accrues whether or not anyone is measuring. The carbon border charge accrues on 2026 imports with cash settlement from February 2027, national fuel carbon prices are already being auctioned, and three non-EU jurisdictions moved their own prices this year. The skills needed shift from assurance and narrative reporting to procurement, customs classification and hedging.

Action: the finance director to quantify accrued carbon border liability on 2026 imports and to confirm who will hold the certificate purchase mandate, before 1 February 2027. PREPARE

Theme 5

Scenario Matrix

Two uncertainties govern the next two to five years more than any others: whether the allocation instruments hold their dates or are relaxed under pressure, and whether the physical inputs stay tight or ease. The vertical axis runs from instruments relaxed at the bottom to instruments held at the top. The horizontal axis runs from inputs easing on the left to inputs tight on the right. The four scenarios below are planning aids, not forecasts.

PHYSICAL INPUTS: EASING TO TIGHT

HELD, INPUTS EASING

HELD, INPUTS TIGHT

ALLOCATION INSTRUMENTS: RELAXED TO HELD

Compliance without scarcity

The origin rule applies on time, carbon charges settle as scheduled and water tenor stays short, but sulphur eases as Gulf supply normalises and a wet winter refills European systems. The burden is administrative rather than physical: firms carry the cost of proving things, not of going without them. Advantage accrues to organisations that built traceability and customs capability early, and the competitive gap opens between companies that can document a supply chain and those that cannot. Food prices drift up modestly on the 2026 harvest and then settle.

Early indicators: no Commission proposal to move the 30 December date; sulphur contracts settling below $500 a long ton; European reservoir recovery through the winter.

Everything binds at once

Instruments hold and inputs stay tight. Fertiliser curtailment persists into the 2027 application season, water restriction becomes a normal summer condition across more of northern Europe, and the origin rule bites on schedule while carbon settlement begins. This is the environment the briefing's recommendations are written for, and the organisations that struggle are those carrying long-lived assets, thin supplier documentation and unhedged input exposure at the same time. Expect political pressure to build for relief that arrives too late to help 2027 planning.

Early indicators: phosphate curtailments extended beyond the third quarter; a second European country moving to statutory water restriction outside its usual season; carbon border certificate purchase opening on schedule in February.

The quiet retreat

RELAXED, INPUTS EASING

Inputs ease and the instruments are relaxed with them. A further deferral of the origin rule, a soft review of the border charge and a wet year together restore … 24 operating environment. Companies that invested in traceability and entitlement management look early rather than wrong, but the payback moves out by two or three years. The risk in this quadrant is complacency: the underlying by-product structure of sulphur and the shortening of water tenor are unchanged, and both return with the next supply shock.

Early indicators: a Commission proposal reopening the deforestation timetable; the 2027 carbon border review signalling scope reduction; acid prices returning toward February levels.

Rules give way, physics does not

RELAXED, INPUTS TIGHT

Political tolerance fails while the physical constraint holds. Deadlines slip and charges soften, but water stays short, sulphur stays expen… poor. This is the hardest quadrant to plan for, because the compliance signal that would have forced preparation is withdrawn while the underlying exposure grows. Organisations that read the deferral as an all-clear and stood their programmes down are the ones caught, and the cost arrives as input prices and site-level restriction rather than as a regulatory penalty.

Early indicators: deferral announced while acid prices stay above $300 a tonne; drought alert conditions persisting into a second consecutive year in the same basins; fertiliser affordability deteriorating in the spring application window.

What We Are Not Planning For

Three risks deliberately left out of this cycle's planning, with the evidence that would bring each back.

PRICES

A global food price shock in the next twelve months

The world index rose 1.0% year on year in July and the month's wheat movement was attributed to Black Sea trade disruption rather than to European yields. Europe is a small share of a global market that is otherwise adequately supplied, and planning for a world shock from this evidence would misread a regional contract-cost problem as a supply emergency.

↺ **Reinstated if** a second major exporting region records a comparable harvest failure in the same marketing year, or if the FAO cereal index rises more than 15% above its year-earlier level.

DISCLOSURE

A reversal of the reporting rollback within this planning horizon

The narrowing of sustainability reporting and due diligence was agreed by both co-legislators and entered into force in March, and the political direction across the same period has been toward simplification rather than away from it. Building a programme on the expectation that the thresholds will be lowered again would spend money against a case nobody is currently making.

↺ **Reinstated if** the Commission tables a proposal restoring any part of the previous scope, or if a member state legislates national reporting duties below the EU thresholds.

NATURE

Mandatory nature and biodiversity disclosure arriving as a binding duty

The standard-setter chose a practice statement rather than a standalone standard, which is a voluntary instrument, and the biodiversity finance mechanism it sits alongside has attracted negligible contributions. Nature risk is arriving through supervisory expectations and border compliance instead, which this briefing covers in the origin theme. A separate disclosure workstream would duplicate that work without changing a decision.

↺ **Reinstated if** the practice statement is converted into a mandatory standard, or if a prudential supervisor sets a dated nature-risk expectation with supervisory consequences attached.

Questions For The Next Strategy Meeting

Five questions this cycle's evidence should put on the agenda.

01 Can we produce, before the end of October, a list by product of what would need plot-level origin evidence in December? If not, is the obstacle our own data or our suppliers' willingness to answer, and which of those is harder to fix?

02 For every site in the 2027 capital plan, who holds the water entitlement, how long does it run, and would we learn about a re-determination before or after it happened?

03 Our 2027 input assumptions were set before a harvest that is now measured and an input price that has tripled. Which of them would we still defend on the evidence, and which have simply been carried forward?

04 We are below the new reporting thresholds, so which parts of the sustainability function should be stood down, and which should be moved into finance and procurement to handle a charge rather than a disclosure?

05 A regulator in one American basin has received no water applications at all from the sixty data centres operating in it, because they buy from public supply. Where else are we assuming a load is visible to the body that allocates, when it is not?

Source Confidence Register

This briefing draws on 44 verified sources, gathered under a soft six-month window (publications from March 2026 onward), with 5 structural anchors carried outside it and flagged. The mix is 25 Tier 1, 10 Tier 2, 8 Tier 3 and 1 Tier 4, so 80% is Tier 1 or Tier 2. 11 sources are non-English across 4 languages, read in the original. Every theme carries a source chosen to challenge it, argued in the counter-argument blocks rather than buried here. Three limits: 2 records carry no verbatim quote and are used as faithful summaries; two European Commission pages carry no publication date and are cited by access date; and the fifth theme was rewritten before drafting when its approved thesis failed against its own evidence, as the Claim-Fidelity Appendix records.

Source tiers: Tier 1, governments, regulators and intergovernmental bodies. Tier 2, think-tanks, academic institutes, major consultancies and quality data providers. Tier 3, quality journalism and specialist trade press. Tier 4, vendor, company and practitioner sources, used only as directional corroboration.

Theme 1: You will be told how much water you can use, two years at a time

Source	Tier	Date	Key claim used
U.S. Bureau of Reclamation / U.S. Department of the Interior	Tier 1	Aug 2026	Interior's Record of Decision on the Decision Framework for Colorado River Guidelines (2027–2036) establishes that Operating Guidelines governing Lake Powell and Lake Mead 'are anticipated to cover 2-year intervals unless consensus-based agreements provide for a longer duration', and Reclamation has issued the first such instrument, the Colorado River Guidelines for Operating Years 2027 and 2028, as final agency action; the page states the 2027–2028 Operating Guidelines are for those two operating years only. A USFWS Biological Opinion on Glen Canyon Dam releases was issued 13 August 2026.

Source	Tier	Date	Key claim used
Delaware River Basin Commission	Tier 1	Aug 2026	DRBC reports roughly 60 data centres already operating in the Delaware River Basin and about 24 more planned within the basin as of June 2026, while having received zero water-withdrawal applications from data centres to date, because existing facilities buy water from public supply systems rather than operating their own withdrawals; the page also notes the larger indirect draw from thermoelectric generation serving those loads.
European Commission, Joint Research Centre (Copernicus European Drought Observatory)	Tier 1	Jul 2026	The JRC/EDO analytical report for July 2026 finds drought alert conditions persisting in central-eastern Europe and worsening in western Europe, with warning conditions extensively expanded in France; scarce precipitation is the main driver, compounded by much-warmer-than-average temperatures and severe heatwaves, with soil moisture and river flow below normal and crop-yield impacts expected. It forecasts a north-south water dipole, drier in central and northern regions and wetter than usual in the Mediterranean.
Xunta de Galicia (Augas de Galicia) (Spanish)	Tier 1	Aug 2026	The regional government declared water-scarcity 'alerta' for the Lérez and Anllóns/Costa da Coruña supply systems, bringing 91 municipalities into the scarcity regime (32 in alerta, 59 in prealerta), and triggering bans on non-essential uses , street washing, filling pools, garden irrigation , with the possibility of intermittent supply cuts. Supply reservoirs stood at 72.74%, 14.44 points below the same date the previous year.

Source	Tier	Date	Key claim used
Environment Agency / GOV.UK	**Tier 1**	Aug 2026	The Environment Agency's weekly situation report records 10 areas in drought and 4 in prolonged dry weather (71% of England by land classed as in drought), 10 water companies operating temporary use bans, and approximately 30 million people under restrictions on their water use; England reservoir storage was 59.8% on 25 August, down 2.7 points in a week and 18.2 points below average for the time of year, with nine major reservoirs classed as exceptionally low.
Information Technology and Innovation Foundation (ITIF)	**Tier 2**	Jul 2026	Robin Gaster argues US data centres directly consumed 17.4 billion gallons in 2023 while the electricity they use required a further 211 billion gallons indirectly , twelve times the direct figure , amounting to under 1 percent of total US water consumption; the report holds that endemic water problems are confined to the arid Southwest and Central High Plains, and calls for mandatory standardised disclosure, watershed-level performance-standard review and integrated water-energy review by states.
KJZZ (Arizona public radio, The Show)	**Tier 3**	Apr 2026	An Arizona state judge (Scott Blaney) ruled in favour of the Home Builders Association of Central Arizona that the Department of Water Resources illegally changed how it evaluates whether there is enough groundwater to permit new homes in parts of the Phoenix area, striking down the regulations behind the 100-year assured water supply requirement and halting the governor's moratorium on new certificates; water policy expert Kathleen Ferris says that if the decision stands it may be the end of the assured supply requirement.

Source	Tier	Date	Key claim used
arXiv (Akinade, Amanambu, Frame and Ren , preprint)	Tier 3	Jun 2026	The review introduces a Water Consumption Impact index and finds that across ten US sites the community-scale utility burden of a data centre spans three orders of magnitude, from 0.2% to 134% of host capacity; for a standardised 250 MW facility, drought-period host stress ranges from effectively zero at The Dalles, Oregon to 42.78% at Phoenix, where existing load already sits at 103% of the sustainable drought threshold. It reports that 43% of data centres worldwide operate in high water-stress areas, projected to reach 45% by the 2050s, and that 72% of Chinese data centre capacity sits in water-scarce regions.

Theme 2: From 30 December, you must show where your raw materials were grown

Source	Tier	Date	Key claim used
European Commission (DG Environment)	Tier 1	Jul 2026	The 13 July 2026 package removes six categories from EUDR Annex I - cattle hides, skins and leather, re-treaded tyres, soybeans for sowing, articles of vulcanised rubber, conveyor and transmission belts, and aircraft and motor vehicle seats - and adds soluble coffee, certain palm oil derivatives and frozen cattle tongues, with the newly added products subject to the Regulation only from 30 December 2027. Application remains 30 December 2026 for large and medium operators and for micro/small operators already covered by the EU Timber Regulation, and 30 June 2027 for other micro and small operators.

Source	Tier	Date	Key claim used
European Commission / Council of the European Union (document register)	Tier 1	Jul 2026	The delegated act text itself removes cattle hides and leather (ex 4101, ex 4104, ex 4107), vulcanised rubber articles and transmission belts (ex 4010, ex 4016), soya beans for sowing and non-wood aircraft/motor vehicle seats from Annex I, narrows re-treaded tyres to ex 4012 90 30, and adds frozen cattle tongues (ex 0206 21 00), soluble coffee (2101 11 00) and further palm oil derivatives, with the added products given a deferred entry into application on 30 December 2027.
Publications Office of the European Union (EUR-Lex, Official Journal) [anchor]	Tier 1	Dec 2025	The December 2025 revision fixes the operative dates: Articles 3 to 13, 16 to 24 and 26, 31 and 32 apply from 30 December 2026, while for operators that are natural persons or micro- or small undertakings established as such by 31 December 2024 the same articles apply from 30 June 2027; it also removes the obligation on downstream operators and traders to submit their own due diligence statements, replacing it with a duty to collect and keep supplier information and reference numbers.
Publications Office of the European Union (EUR-Lex, consolidated text) [anchor]	Tier 1	Dec 2025	The Regulation covers seven relevant commodities - cattle, cocoa, coffee, oil palm, rubber, soya and wood - and their derived products; Article 9 requires operators to collect the geolocation of all plots of land where the commodities were produced, Article 10 requires them to verify and analyse that information in a risk assessment before placing products on the market, and Article 4 prohibits placing relevant products on the market or exporting them without prior submission of a due diligence statement.

Source	Tier	Date	Key claim used
European Commission (DG Environment)	**Tier 1**	Evergree n	The Commission's standing EUDR page states the regime covers cattle, wood, cocoa, soy, palm oil, coffee, rubber and derived products such as leather, chocolate, tyres or furniture, and that operators must be able to prove products do not originate from recently deforested land; it gives application dates of 30 December 2026 for large and medium operators and for micro/small operators already covered by the EUTR, and 30 June 2027 for other micro and small operators.
Bundesanstalt für Landwirtschaft und Ernährung (BLE), German national competent authority (German)	**Tier 2**	Evergree n	The German competent authority states the EUDR covers seven raw materials - "Holz, Kakao, Kaffee, Kautschuk, Ölpalme, Soja und Rinder" - plus derived products such as chocolate and furniture, that goods must not have been produced on land deforested after 31 December 2020 and must be legally produced under the producer country's law, and that a "Sorgfaltserklärung" must be lodged in the EU information system; it gives 30 December 2026 for larger enterprises and 30 June 2027 for micro and small enterprises.
Mongabay France (French)	**Tier 3**	Apr 2026	Reporting from cocoa-growing villages near San Pédro, the piece describes Ivorian producers reorganising through cooperatives to meet EU requirements that their cocoa not come from land deforested after 31 December 2020, under "obligations strictes de traçabilité, incluant la géolocalisation des parcelles et la vérification du respect des lois", while smallholders face delayed carbon-credit payments and unstable cocoa prices.

Source	Tier	Date	Key claim used
CDH - Centralvereinigung Deutscher Wirtschaftsverbände für Handelsvermittlung und Vertrieb (German)	Tier 3	Jun 2026	The German trade-intermediary association reports that the simplification package removes "Leder und wiederaufbereitete Reifen" plus exemptions for product samples, certain packaging, second-hand goods and waste, adds downstream products such as soluble coffee and certain palm oil derivatives, and that downstream operators and traders no longer have to submit due diligence statements or pass reference numbers further down the chain - while application still begins on 30 December 2026 for large and medium operators and for timber-sector SMEs.
Mighty Earth	Tier 4	May 2026	The NGO argues that removing leather from EUDR scope means meat from cattle reared on deforested land would be banned while the hides and skins from the same animals would not, attributes the change to leather-industry lobbying, and notes application dates of 30 December 2026 for large and medium operators and 30 June 2027 for micro and small operators.

Theme 3: Fertiliser plants are shutting because sulphur tripled in price

Source	Tier	Date	Key claim used
The Geographical Journal (Royal Geographical Society / Wiley); accepted manuscript via UCL Discovery [anchor]	Tier 1	Jul 2022	Maslin, Van Heerde and Day argue that more than 80% of industrially used sulfur is recovered from oil and natural gas, that real sulfur prices sat below roughly $40/tonne for forty years, and that demand could exceed 400 million tonnes by 2040 as green technology and intensive agriculture both scale; they explicitly warn that acid-consuming green-tech industries could outbid fertiliser producers.

Source	Tier	Date	Key claim used
U.S. Geological Survey [anchor]	Tier 1	Feb 2026	USGS reports world sulfur production of an estimated 84 million tons in 2025 against 83.9 million tons in 2024 (essentially flat), US recovered elemental sulfur of 7.6 million tons from 81 plants operated by 31 companies at petroleum refineries, natural-gas-processing plants and coking plants, and US contract prices rising from $116/long ton in early 2025 to $310/long ton by October 2025; it nonetheless states that because most sulfur is a by-product of fossil fuel processing, supplies are expected to be adequate for the foreseeable future.
China Sulphuric Acid Industry Association (中国硫酸工业协会), republished via Sina Finance (Chinese)	Tier 2	Apr 2026	The China Sulphuric Acid Industry Association reports Chinese sulphuric acid output of 128 million tonnes in 2025, up 5.3% year on year, with growth concentrated in smelter acid and pyrite-based acid rather than sulphur-burned acid, and China importing 9.608 million tonnes of sulphur in 2025, down 344,000 tonnes or 3.5% on the year, at an average import price of $265.3/t, up $149.1/t or 128.2% year on year; it lists export controls on sulphuric acid as a bearish factor and flags uncertainty over phosphate fertiliser exports on strategic-resource and domestic-supply grounds.
The Mosaic Company	Tier 1	Aug 2026	Mosaic reports Q2 2026 raw material costs averaging $522 per long ton for sulfur and $621 per tonne for ammonia, third-quarter sulfur contracts settled at $705/long ton, a partial phosphate production curtailment implemented in May that held Q2 volumes to 1.4 million tonnes, with the Faustina plant completely idled and Bartow running at 40% of its targeted annual operating rate.

Source	Tier	Date	Key claim used
farmdoc daily, Department of Agricultural and Consumer Economics, University of Illinois at Urbana-Champaign	**Tier 2**	Aug 2026	Paulson, Schnitkey, Zulauf and Dhakal report that DAP production consumes roughly 0.4 tons of sulfur alongside 1.5–2 tons of phosphate rock, that the correlation between Corn Belt DAP prices and Vancouver sulfur prices is positive and statistically strong at 0.70, and that Corn Belt DAP has moved from \$600–\$700/ton across 2024 to mid-2025 to around \$850/ton in autumn 2025 and again in August 2026, with further increases expected as sulfur prices have risen sharply since February.
S&P Global Commodity Insights (Platts)	**Tier 3**	May 2026	Platts assessed sulfuric acid CFR US Gulf at \$400/mt on 6 May 2026 against \$155/mt on 25 February 2026, sulfur FOB US Gulf at \$1,060/mt on 7 May versus \$650/mt on 2 April, and CFR Brazil sulfur at \$1,150/mt, more than double the \$525/mt of 26 February; Chinese authorities imposed restrictions on sulfuric acid exports effective 1 May 2026 covering smelter and sulfur-burner acid with only electronic-grade material exempt, against roughly 4.6 million tonnes of Chinese acid exports in 2025.
BC Insight / Sulphur magazine (CRU Group)	**Tier 3**	Mar 2026	Four Chinese-operated HPAL plants at the Indonesia Morowali Industrial Park, together about 30% of Indonesia's high-pressure acid leaching capacity, suspended operations after a fatal February landslide; their individual acid requirements are 1.5 million t/a (PT QMB New Energy Materials), 653,000 t/a, 620,000 t/a and 530,000 t/a, and the shutdowns are expected to remove around 260,000 tonnes of monthly acid demand and roughly 50,000 tonnes per month of upstream sulphur demand.

Source	Tier	Date	Key claim used
Kpler	Tier 3	Jun 2026	Kpler reports that at 2026 sulphur prices feedstock exceeds 50% of total nickel MHP production cost, that copper SX-EW consumes 3 to 22 tonnes of acid per tonne of copper depending on ore grade, that Indonesian nickel buyers are importing acid from Japan and Korea in direct competition with Chilean copper producers for the same smelter by-product acid, and that Huayou cut Indonesian HPAL output by around 50% while Mosaic cut US phosphate output by around 2 million tonnes; it notes Morocco's OCP took its final Middle East Gulf sulphur cargo on 10 April 2026.

Theme 4: Europe's drought is already in next year's food prices

Source	Tier	Date	Key claim used
European Commission, Joint Research Centre	Tier 1	Aug 2026	The JRC's August 2026 MARS assessment sharply cut EU yield forecasts for all summer crops, to as much as 14% below the five-year average, with grain maize the worst hit; impacts range from moderate losses to crop failure in France, Germany, Italy, Austria, Czechia, Slovakia and Hungary, and grassland productivity and pasture availability have declined markedly, raising fodder-supply concerns.
European Commission, Joint Research Centre (JRC Publications Repository)	Tier 1	Jul 2026	The July 2026 MARS Bulletin revised EU winter-crop yield forecasts down by 1-4%, leaving total cereals 1% below the five-year average, and cut forecasts for all spring and summer crops, most notably grain maize and sunflower by 6-7%, warning that persistent hot and dry conditions in western Europe made further reductions likely.

Source	Tier	Date	Key claim used
European Commission, Joint Research Centre	Tier 1	Aug 2026	Half (50%) of the EU and UK was under drought at some intensity in July 2026 with 9% at alert level; the Loire, Po, Rhine and Danube hit record low levels in August; and burnt area reached 505,683 hectares by 5 August 2026 against 379,392 hectares by the same date in 2025.
European Commission, DG Agriculture and Rural Development	Tier 1	Jul 2026	The Commission's summer 2026 short-term outlook forecast EU cereal production in 2026/27 returning to average at 273.7 million tonnes after an exceptional previous season, flagged heat stress as a downside for spring and summer crops, and warned that food prices are expected to climb following increasing input costs, with the passthrough of input costs to consumer prices posing a risk; beef output falls on a shrinking cow herd, keeping prices elevated.
Statistisches Bundesamt (Destatis) (German)	Tier 1	Aug 2026	Germany's federal statistical office reports a first estimate of a 2026 cereal harvest (excluding grain maize and corn-cob mix) of 37.5 million tonnes, 7% below 2025.
Deutscher Raiffeisenverband e.V. (DRV) (German)	Tier 2	Aug 2026	The German agricultural cooperatives' association estimates the 2026 grain harvest at 40.6 million tonnes, about 10% below 2025's roughly 45 million tonnes and below the five-year average of 42.5 million tonnes, with rapeseed at 3.7 million tonnes against 4.0 million; the roughly 3 million tonnes of grain and rapeseed lost to heat stress equate to income losses of more than 600 million euros.

Source	Tier	Date	Key claim used
Deutscher Bauernverband (DBV) (German)	Tier 2	Aug 2026	The German farmers' association's 2026 harvest balance puts average cereal yield at 68.9 dt/ha, 9% below the previous year, with winter wheat at 72.1 dt/ha (-9% on 2025), winter barley at 75.6 dt/ha (-4%) and winter rapeseed at 29.1 dt/ha (-20%); it reports collapsing grassland yields, heavy silage-maize losses and zero regrowth after first cut in some regions, threatening winter feed reserves and pointing to herd reductions.
Réussir Grandes Cultures (reporting Agreste, French Ministry of Agriculture) (French)	Tier 3	Aug 2026	Reporting Agreste's August 2026 estimate, the French grain maize crop (including seed) is put at 9.0 million tonnes, down about 35% on 2025 and 34.1% below the 2021-2025 five-year average, with yield at 70.3 q/ha, 22.5% below the five-year average , potentially the lowest French production since 1980.
Food and Agriculture Organization of the United Nations (FAO)	Tier 1	Aug 2026	The FAO Food Price Index averaged 131.1 points in July 2026, up 0.7 points (0.6%) on June and 1.3 points (1.0%) above July 2025; the Cereal Price Index rose to 113.8 points, up 3.8 points (3.4%) on June, with wheat prices up 5.8% on the month and 9.9% above their year-earlier level.
Eurostat	Tier 1	Sep 2026	Eurostat's flash estimate puts euro area annual inflation at 3.3% in August 2026, with food, alcohol and tobacco at 1.2% annually , unchanged from July 2026 , while energy is expected to show the highest annual rate at 14.3%, up from 10.3% in July.

Theme 5: Carbon costs are now being charged, not just reported

Source	Tier	Date	Key claim used
European Commission, Directorate-General for Taxation and Customs Union	Tier 1	Evergreen	The Commission has published the first two official CBAM certificate prices of the definitive regime: EUR 75.36/tonne CO2 for Q1 2026 (published 7 April 2026) and EUR 75.28/tonne for Q2 2026 (published 6 July 2026), each calculated as the weighted average of EU ETS auction clearing prices for that quarter; the Q3 2026 price is scheduled for 5 October 2026, and certificates themselves are bought on the common central platform from February 2027.
EUR-Lex / Official Journal of the European Union [anchor]	Tier 1	May 2023	The founding CBAM instrument, dated 10 May 2023 and published in the Official Journal on 16 May 2023, is the legal basis that converts declared embedded emissions into a purchase-and-surrender obligation on EU importers, with the definitive (charging) regime scheduled from 2026 and its certificate-purchase provisions applying from 2027.
International Carbon Action Partnership (ICAP)	Tier 2	Mar 2026	As part of the deal that adopted the EU's 2040 target of a 90% economy-wide greenhouse gas cut from 1990 levels, the start of the second emissions trading system covering buildings and road transport fuels (EU ETS 2) has been postponed by one year to 1 January 2028, while auctioning of ETS 2 allowances still commences as planned in 2027.
European Parliament , Legislative Train Schedule	Tier 1	May 2026	Under the final Omnibus I text, CSRD sustainability reporting will only be required for EU companies employing on average over 1,000 employees and with net annual turnover above EUR 450 million, and CSDDD due diligence only for EU corporations with more than 5,000 employees and turnover above EUR 1.5 billion; the Council adopted the text on 24 February 2026 and it entered into force on 18 March 2026.

Source	Tier	Date	Key claim used
International Carbon Action Partnership (ICAP)	**Tier 2**	May 2026	Canada's revised carbon price trajectory, effective 15 May 2026 and applying to all industrial carbon pricing systems in Canada (including the federal Output-Based Pricing System and Alberta's TIER), holds the headline price at CAD 95/tonne in 2026, raises it to CAD 100 in 2027 and CAD 115 in 2030, then by CAD 3 a year to CAD 130 in 2035, indexed to inflation with a 1.5% escalator to reach CAD 140 by 2040.
中华人民共和国生态环境部 (Ministry of Ecology and Environment of the People's Republic of China) (Chinese)	**Tier 1**	Jul 2026	On 27 July 2026 China's Ministry of Ecology and Environment opened public consultation on the national ETS allowance total and allocation plan covering the power sector for compliance years 2025 and 2026 and, separately, the steel, cement and aluminium smelting sectors for compliance year 2026 , confirming that the three heavy-industry sectors added to the national carbon market are now inside the annual allocation cycle.
World Bank	**Tier 2**	May 2026	The World Bank's 2026 edition reports that just over 29% of global greenhouse gas emissions are now covered by direct carbon pricing, that there are 87 carbon pricing policies globally (seven more than a year earlier), that revenues mobilised more than USD 107 billion for public budgets in 2025 (up from below USD 30 billion in 2016), and that direct carbon prices grew 7% year on year to an average of nearly USD 21/tCO2e.

Source	Tier	Date	Key claim used
International Carbon Action Partnership (ICAP)	Tier 2	Jul 2026	As of 1 July 2026 the UK ETS has expanded to cover domestic maritime emissions, and the Auction Reserve Price has been raised from GBP 22 to GBP 28 (roughly USD 29 to USD 37), adjusting annually with inflation from 1 January 2027; the UK ETS Authority states the strengthened ARP plus an unchanged Cost Containment Mechanism gives sufficient price stability for a standalone UK ETS while remaining compatible with the ongoing UK–EU ETS linkage negotiations.
Deutsche Emissionshandelsstelle (DEHSt) im Umweltbundesamt (German)	Tier 1	May 2026	Germany's national fuel emissions trading system (nEHS) moved in 2026 from fixed-price sale to auctioning within a price corridor with a minimum bid price of EUR 55 and a maximum bid price of EUR 65 per tonne of CO_2, with the first auction date set for 1 July 2026 , a domestic carbon charge on heating and transport fuels running while the EU's ETS2 has been pushed to 2028.

Claim-Fidelity Appendix

Analyst inferences and editorial framing, disclosed so a reader can separate what a source says from what this briefing concludes.

Cycle-over-cycle continuity claims. None. This is the first Decision Intelligence briefing in the Climate, Nature and Food Systems series, so there is no prior cycle to grade and no continuity ledger. The 28 August Change Tracker in the same topic is the momentum baseline but is not cited as a source here.

Superlatives used. Two. "Violently" describing the sulphur reprice is analyst voice; the sources give the figures without the adverb. "Record lows" for the Loire, Po, Rhine and Danube is the Joint Research Centre's own characterisation and is used as it stands. A third, describing the Colorado as the largest managed river system in the American west, was removed at review rather than disclosed, because the claim added nothing the sources support.

Analytical synthesis claims. Four, each marked in the body with an analyst-voice frame. First, that the narrowing of reporting and the widening of charging and rationing are the same movement: this reads across the Omnibus record, the carbon border pricing page, the deforestation dates and the water records, and no single source makes the connection. Second, that the harvest loss is committed but not yet priced: this joins the crop forecasts to the Eurostat flash estimate, which no source does. Third, that the 2026 sulphur event is a supply shock rather than proof of the transition outbidding food: this is stated in the counter-argument and rests on the price reporting agency's attribution, the absence of any battery-metals mechanism in the farm-economics analysis, and the Indonesian demand withdrawal. Fourth, the twenty-five year reference bar in Figure 1 is a conventional planning life used for comparison and is labelled as such rather than sourced.

A note on one theme's origin. This cycle's fifth theme was approved as an argument that the battery industry is outbidding fertiliser for the same acid. The gathering pass was briefed to look for evidence against it and found enough to change it: the price surge is attributed to supply disruption and export policy, the pass-through analysis does not mention battery metals, and the cost structure that the outbidding argument depends on is contradicted by the best available estimate. The theme was rewritten before drafting to argue what the evidence supports, and the original label is retained in the evidence base as a research field.

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